



UNIVERSITY EXAMINATIONS: 2018/2019

**EXAMINATION FOR THE DEGREES OF BACHELOR OF SCIENCE IN
IT/ BUSINESS IT/ APPLIED COMPUTING**

**BIT 1302A/BUSS 208/BAC 2105: E-COMMERCE
FULLTIME/ PART TIME/ DISTANCE LEARNING
ORDINARY EXAMINATIONS**

DATE: AUGUST, 2019

TIME: 2 HOURS

INSTRUCTIONS: Answer **Question One** & ANY OTHER **TWO** questions.

QUESTION ONE (30 MARKS)

Tesco Case Study

Tesco, well known as Britain's leading food retail group with a presence also elsewhere in Europe, Asia and the United States has also been a pioneer online. Tesco is generally recognized as the world's largest online grocer and it has an annual turnover of £1 billion online in the UK and has launched in other countries, internationally and is diversifying into non-food categories. In 2006, Tesco launched Tesco Direct Web Site to rival catalogue retailers and got over 8,000 products (beds and sofas through to kitchenware, electricals, cameras, bikes and golf clubs) available giving customers more products at great Tesco prices than they have ever had access to before. Customers can choose the product they want on a new website or from a new catalogue and then order in one of three ways:

On-line via the tesco.com website

By phone

In selected stores at the new Tesco Direct desks

The Tesco.com site acts as a portal to most of Tesco's products, including various non-food ranges (for example, Books, DVDs and Electrical items under the „Extra“ banner). As with other online retailers, Tesco.com relies on in-store advertising and marketing to the supermarket's Clubcard loyalty scheme's customer base to persuade customers to shop online. However, for non-food goods the supermarket does advertise online using keyword targeted ads. For existing customers Tesco used email marketing and direct mail marketing to provide special offers and promotions to the customers. E-retailer Tesco.com uses as a „commitment-based segmentation“ or „loyalty ladder“ which is based on recency of purchase, frequency of purchase and value to identify categories of customer life cycle such as, „logged-on“, „developing“, „established“, „Dedicated“

etc, to target communication to customers. Tesco.com have a touch strategy which includes a sequence of follow-up communications triggered after different events in a customer's lifecycle. The growth of Tesco has been achieved through a combination of initiatives. Product range development is one key area. In November 2004, Tesco's introduced a music download service and as the technology grows, it is hoped that Tesco.com turn into a digital download store of all sorts, rather than just music. In 2007 it launched price comparison site Tesco Compare based on analysis of customer demands

Questions

- a) Identify the E-commerce model and E-tailing business model adopted by Tesco (4 Marks)
- b) In 2006, Tesco launched Tesco Direct to rival catalogue retailers. Identify the advantages of this approach to (6Marks)
 - i. Tesco company
 - ii. Tesco Customers
- c) One of the critical success factors of retailing is customer acquisition and retention. From the case study identify and the advantages of the Marketing and Advertising approaches used by Tesco company. (8 Marks)
- d) Explain the different security measures that could be taken by Tesco to protect itself and its online customers (6 Marks)
- e) Why is user profile important in e-commerce? Describe three ways to compile user profile. (6 Marks)

QUESTION TWO (20 MARKS)

- a) Define the term digital economy. (2 Marks)
- b) Explain;
 - i. The term electronic marketplace and outline its main components. (9 Marks)
 - ii. The three main functions of e-markets. (3 Marks)
- c) Describe each of the following standards for e-payments: (6 Marks)
 - i. Secure socket layer (SSL)
 - ii. Transport Layer Security (TLS)
 - iii. Secure Electronic Transaction (SET)

QUESTION THREE (20 MARKS)

- a) Using a well-labeled diagram, discuss the 3-tier architecture for developing e-commerce infrastructure. (10 Marks)
- b) Explain each of the following security issues: (10 Marks)
 - i. Authorization
 - ii. Authentication
 - iii. Auditing
 - iv. Nonrepudiation
 - v. Integrity

QUESTION FOUR (20 MARKS)

- a) Explain the four (4) parties usually involved in e-payments. (8 Marks)
- b) Define the term e-marketing. (2 Marks)
- c) Outline any three characteristics of marketing communications that take place via the Internet. (6 Marks)
- d) Outline any two (2) tangible benefits of EDI. (4 Marks)

QUESTION FIVE (20 MARKS)

- a) Internet and its use in E-Commerce have raised pervasive ethical, social and political issues on a scale unprecedented for computer technology.
Explain the following ethical, social and political issues that have developed around e-commerce (6 Marks)
 - i. Information rights
 - ii. Property rights
 - iii. Governance
- b) When confronted with a situation that seems to present ethical dilemma, outline how you would analyze and reason about the situation (8Marks)
- c) Outline three key factors for the success of an E-commerce business. (6 Marks)